

STAREHE GIRLS' 2025 PREDICTION



POSSIBLE KCSE EXAM



565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS TO CANDIDATES

- a) Write your name and index number in the spaces provided above.*
- b) Sign and write the date of the examination in the spaces provided above.*
- c) This paper consists of 25 questions.*
- d) Answer all the questions in this paper.*
- e) All your answer must be written in the spaces provided in the question paper*
- f) Non –programmable silent electronic calculator may be used.*
- g) Candidates must answer the questions in English.*

1. Identify the type of production activity associated with each of the following utilities. **(4 marks)**

UTILITY	PRODUCTION ACTIVITY
a) Time	
b) Place	
c) Form	
d) Possession	

2. Highlight four circumstances under which a firm would prefer open office layout. **(4 marks)**

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3. Outline four limitations of Barter trade.
(4 marks)

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4. State four negative effects of over population in a nation.
(4 marks)

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5. State four factors that influence entrepreneurial practices in Kenya.
(4 marks)

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6. Highlight four factors which may render face to face communication ineffective. (4 marks)

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7. State four features of a supermarket.
(4 marks)

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8. Outline four features of private limited company.

(4 marks)

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9. State four factors that insurance companies consider before determining premiums to be paid.

(4 marks)

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10. Indicate the effect of the following transactions on the capital of a business. Use increase, decrease or no effect.

(4 marks)

Transactions	Effects
a) Owner took cash from the business for personal use.	
b) Payment of business expenses in cash.	
c) Owner deposited additional cash from personal saving.	
d) The business made loss from trading.	

11. Omamo a trader had the following assets and liabilities on 1st February 2024.

Capital	120,000
Machinery	80,000
Trade creditors	10,000
Trade debtors	20,000
Stock of goods	25,000
Cash at hand	5,000

On 2nd February, the following transactions took place:

Purchased goods on credit for Sh. 15,000

Received a cheque Sh. 10,000 from a debtor

Sold the machinery for Sh. 90,000 in cash

Required: Prepare Omamo’s balance sheet as at 2nd February 2024. (4 marks)

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12. State four uses of a cashbook.

(4 marks)

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13. Highlight four roles played by intermediaries to a producer in the chain of distribution. **(4 mks)**

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14. Name four means of land transport.

(4 marks)

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15. Highlight four circumstances under which the government may issue licenses to Businesses.

(4 marks)

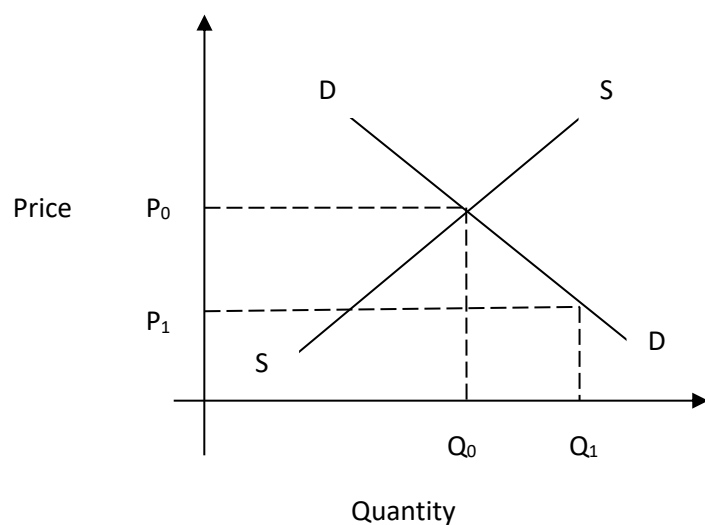
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16. Study the diagram below and answer the questions that follows:



State four effects of fixing the price at P_1

(4 marks)

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17.Highlight four consequences of poor arrangement of goods in warehouses. (4 marks)

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18.Highlight four features of a perfect competition market. (4 marks)

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19.Identify the book of original entry in which the following transactions can be recorded. (4 marks)

Transaction	Book of original entry
a) Paid salaries by cheque	
b) Returned goods to a supplier	
c) Sold goods on credit	
d) Bought delivery van on credit	

20.State four uses of national income statistics. (4 marks)

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21. Open the relevant ledger accounts using the following information:

(4 marks)

2011 Feb 1: Started business with Sh. 10,000 in cash and 50,000 at bank.

” Feb 2: Withdrew sh. 2,000 from bank for office use.

Date	Details	Folio	Amount	Date	Details	Folio	Amount

Date	Details	Folio	Amount	Date	Details	Folio	Amount

Date	Details	Folio	Amount	Date	Details	Folio	Amount

22. State four factors that influence what goods and services a firm should produce. **(4 marks)**

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23. The following information relates to Kasuku traders for the year 2022.

Turnover	270,000
Margin	40%
Rate of stock turnover	6 times
Expenses	40,000

From the information above, calculate:

a) Gross profit. (1 mark)

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b) Cost of goods sold. (1 mark)

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c) Net profit. (1 mark)

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d) Average stock. (1 mark)

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24. Outline four reasons why people start businesses.
(4 marks)

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25. State the type of human want one would satisfy in each of the following: **(4 marks)**

- a) A tourist going to Maasai Mara National park
- b) Cooking food for school children
- c) Playing
 football.
- d) Weaving clothes.